

Cash flow diagram is a diagrammatic representation of cash inflows and outflows along a timeline.

Cash inflow means what comes in and it is represented above the time line.

Eg → income, profit, revenues etc.

Cash outflow means what goes out and it is represented below the timeline.

Eg → Cost, expenses, tax payment etc.

Cash flow diagram is of two types

(1) Cash dominated

(2) Revenue dominated

In cost dominated cash flow diagram Cost is more than the revenue. We have to add all the cost and subtract the revenue. Project having lowest Cost will be selected for the implementation.